# Practice workbook · Social costs and social benefits formulas

The formulas linking private and external costs and benefits to social costs and benefits.

10 question parts: 1 worked-example retry and 9 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T11-21

# 1. Question 2 · part d · 2 marks

2024 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part d only.

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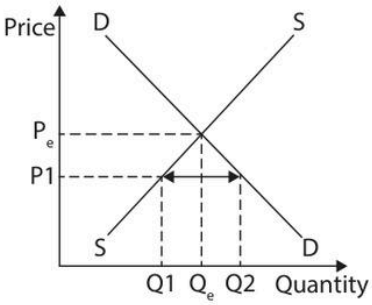
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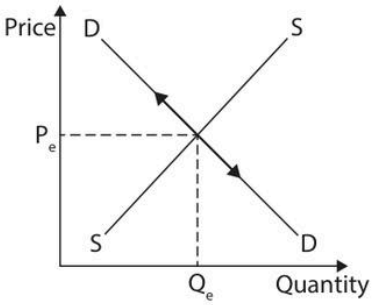
**2** (a) Which **one** of the following diagrams shows excess demand?

**(1)**

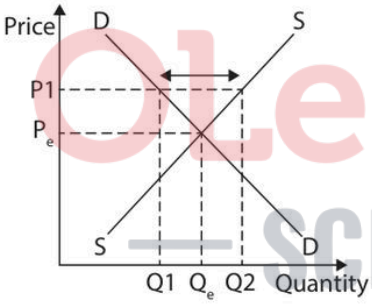
☒ **A**



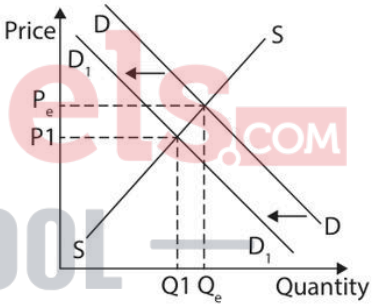

☒ **B**




☒ **C**




☒ **D**




(b) Which **one** of the following is a feature of an oligopoly?

**(1)**

☒ **A** There is only one firm in the market

☒ **B** Firms always act independently

☒ **C** Different products are sold

☒ **D** No barriers to entry are present

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# 1. Question 2 · part d · 2 marks

2024 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part d only.

(c) Calculate the **percentage change in quantity supplied** for a product if the price elasticity of supply (PES) is 1.5 and the price increases by 12%. You are advised to show your working.

**(2)**

(d) What is meant by the term social costs?

**(2)**

(e) Describe **one** reason why innovation may be more likely to occur in a monopoly.

**(2)**

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P 7 2 9 6 8 R A 0 8 2 4

## 1. Question 2 · part d · 2 marks · Working and answer

Working and answer

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## 2. Question 1 · part d · 1 mark

2019 JUN · Paper 01

Further practice · Attempt part d only.

**1** (a) Which **one** of the following is a factor of production?

(1)

- ☒ **A** Land
- ☒ **B** Profit
- ☒ **C** Wages
- ☒ **D** Manufacturing

(b) A firm has total fixed costs of $40 000 per month and variable costs of $150 per unit. If it produces 1,000 units, what are the total costs per month for the firm?

(1)

- ☒ **A** $190 000
- ☒ **B** $150 000
- ☒ **C** $41 150
- ☒ **D** $40 150

(c) What is meant by the term demand?

(2)

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## 2. Question 1 · part d · 1 mark

2019 JUN · Paper 01

Further practice · Attempt part d only.

(d) State the formula for social costs.

(1)

(e) Define the term tertiary sector.

(1)

Figure 1 shows the costs of production per month for a firm making 2,000 units.

| Quantity | Total fixed costs | Total variable costs |
|---|---|---|
| 2,000 | $7 340 | $4 760 |

**Figure 1**

(f) Calculate the average cost per unit for the firm when it makes 2,000 units. You are advised to show your working.

(2)

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## 2. Question 1 · part d · 1 mark · Working and answer

Working and answer

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## 3. Question 2 · part d · 1 mark

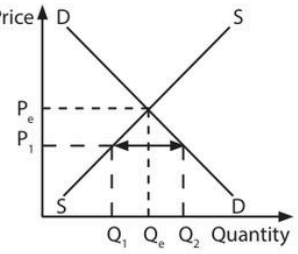
2020 JAN · Paper 01 (regional R)

Further practice · Attempt part d only.

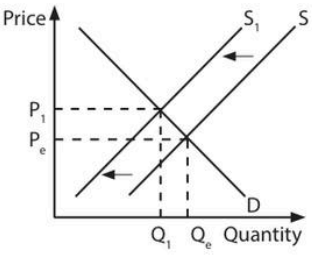
**2** (a) Which **one** of the following diagrams shows excess supply?

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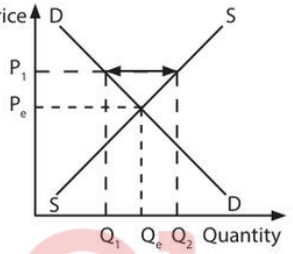
☒ **A**



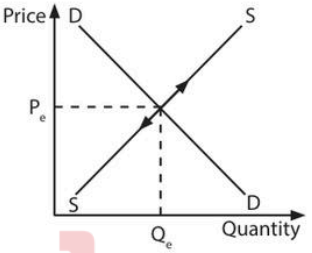

☒ **B**




☒ **C**




☒ **D**




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## 3. Question 2 · part d · 1 mark

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part d only.

(b) Which **one** of the following is most likely to create a barrier to entry?

(1)

- ☒ **A** Government provides subsidies for new firms
- ☒ **B** Increasing personal incomes in the economy
- ☒ **C** Low start-up costs
- ☒ **D** Use of expensive technology

(c) Calculate the **price elasticity of demand (PED)** for a product if price falls by 10% and quantity demanded increases by 19%. You are advised to show your working.

(2)

(d) State the formula for social benefits.

(1)

(e) Define the term consumer.

(1)

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## 3. Question 2 · part d · 1 mark · Working and answer

Working and answer

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# 4. Question 1 · part d · 1 mark

2021 NOV · Paper 01

Further practice · Attempt part d only.

**1** (a) Which **one** of the following is a reason why firms may not always maximise their profit?

(1)

- ☒ **A** They may minimise total costs
- ☒ **B** They may be able to sell at a high price
- ☒ **C** They may have low fixed costs
- ☒ **D** They may complete charitable work

A product has an income elasticity of demand (YED) of 0.7.

(b) Which **one** of the following best describes the product?

(1)

- ☒ **A** A public good
- ☒ **B** A normal good
- ☒ **C** A luxury good
- ☒ **D** An inferior good

(c) What is meant by the term productivity?

(2)

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## 4. Question 1 · part d · 1 mark

2021 NOV · Paper 01

Further practice · Attempt part d only.

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(d) State the formula for calculating social costs.

**(1)**

(e) Define the term producer.

**(1)**

A firm has total fixed costs of $50 000 per month and variable costs of $250 per unit. It produces 750 units per month.

(f) Calculate the **total costs per month** for the firm. You are advised to show your working.

**(2)**

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P 6 5 8 9 7 R A 0 3 2 0

3

*Turn over*

## 4. Question 1 · part d · 1 mark · Working and answer

Working and answer

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# 5. Question 1 · part d · 1 mark

2022 JUN · Paper 01

Further practice · Attempt part d only.

**1** (a) Which **one** of the following is a factor of production?

(1)

- ☒ **A** Taxation
- ☒ **B** Gym workout
- ☒ **C** Enterprise
- ☒ **D** Restaurant meal

A firm charges a price of $160 per item and has average costs of $120 per item. It sells 20 000 items.

(b) What is the total revenue for the firm?

(1)

- ☒ **A** $19 200
- ☒ **B** $20 160
- ☒ **C** $2 400 000
- ☒ **D** $3 200 000

(c) What is meant by the term normal good?

(2)

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## 5. Question 1 · part d · 1 mark

2022 JUN · Paper 01

Further practice · Attempt part d only.

(d) State the formula for social benefits.

(1)

(e) Define the term niche market.

(1)

Greg produces pottery at a small factory in his local area. At the start of the year price increased by 5.4% and quantity supplied increased by 4.7%.

(f) Calculate, to two decimal places, the **price elasticity of supply (PES)** for Greg's pottery. You are advised to show your working.

(2)

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## 5. Question 1 · part d · 1 mark · Working and answer

Working and answer

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## 6. Question 2 · part b · 1 mark

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part b only.

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**2** The income elasticity of demand (YED) for a product can be calculated by using the information in Figure 3.

| | |
|---|---|
| Change in quantity demanded | 4.6% |
| Change in income | 2% |

**Figure 3**

(a) Which **one** of the following options best describes the demand for the product?

(1)

- ☒ **A** Unitary
- ☒ **B** Luxury
- ☒ **C** Inferior
- ☒ **D** Inelastic

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(b) Which **one** of the following is the formula for social benefits?

(1)

- ☒ **A** Private costs + private benefits
- ☒ **B** Private benefits – private costs
- ☒ **C** Private benefits + external benefits
- ☒ **D** Private costs – external costs

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## 6. Question 2 · part b · 1 mark

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part b only.

(c) What is meant by the term trade union?

**(2)**

Figure 4 shows the monthly costs per unit when a firm makes 3,000 units.

| Quantity | Total fixed costs | Total variable costs |
|---|---|---|
| 3,000 | $6 200 | $3 550 |

**Figure 4**

(d) Calculate the **average cost per unit (AC)** for the firm when it makes 3,000 units.
You are advised to show your working.

**(2)**

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## 6. Question 2 · part b · 1 mark · Working and answer

Working and answer

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# 7. Question 3 · part b · 1 mark

2023 JUN · Paper 01

Further practice · Attempt part b only.

**3** Income elasticity of demand (YED) for a product is –0.43 and the price elasticity of demand (PED) for the same product is –0.27.

(a) The data above shows that the product is

**(1)**

- ☒ **A** an inferior good and demand is price inelastic
- ☒ **B** an inferior good and demand is price elastic
- ☒ **C** a normal good and demand is price inelastic
- ☒ **D** a normal good and demand is price elastic

(b) The formula for social benefits is

**(1)**

- ☒ **A** private costs + private benefits
- ☒ **B** private benefits – private costs
- ☒ **C** private benefits + external benefits
- ☒ **D** private costs – external costs

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## 7. Question 3 · part b · 1 mark

2023 JUN · Paper 01

Further practice · Attempt part b only.

(c) On the diagram below, draw the effects of a decrease in the retirement age on the labour market in a country. Label the new curve, the new equilibrium wage rate and the new equilibrium quantity of workers employed.

**(3)**

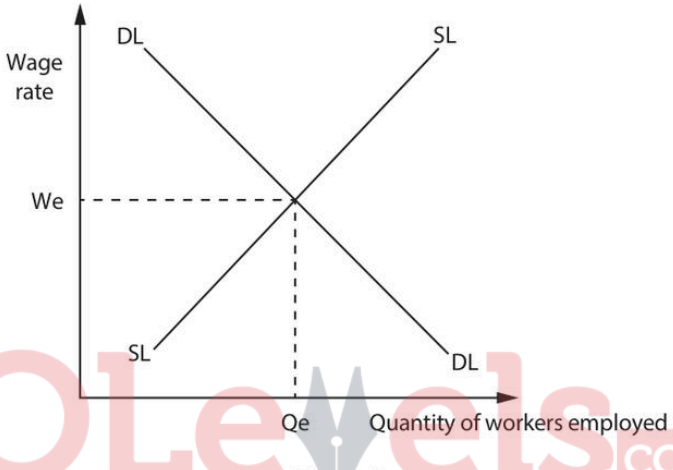



**Figure 4**

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## 7. Question 3 · part b · 1 mark · Working and answer

Working and answer

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# 8. Question 2 · part d · 2 marks

2024 JUN · Paper 01

Further practice · Attempt part d only.

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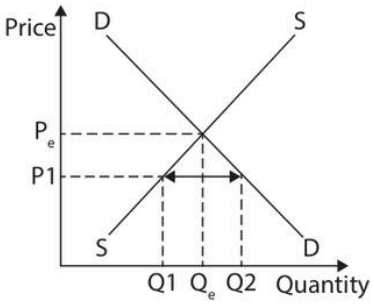
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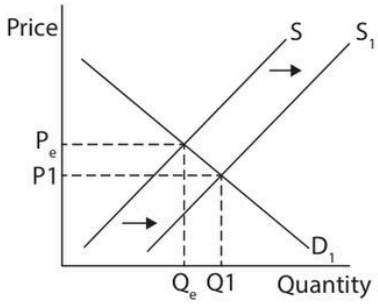
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**(1)**

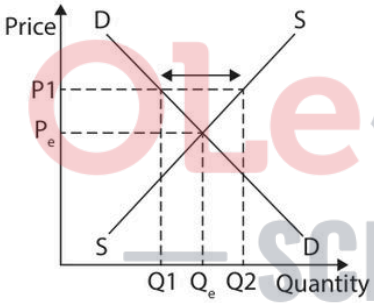
☒ **A**



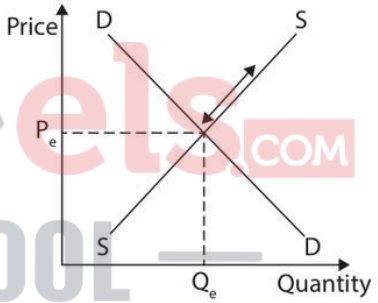

☒ **B**




☒ **C**




☒ **D**




(b) Which **one** of the following is a feature of a monopoly?

**(1)**

☒ **A** Consumers have a choice of firms

☒ **B** There are many firms competing in the market

☒ **C** The firm is a price-maker

☒ **D** There are low barriers to entry

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## 8. Question 2 · part d · 2 marks

2024 JUN · Paper 01

Further practice · Attempt part d only.

(c) Calculate the **percentage change in quantity demanded** for a product if the price elasticity of demand (PED) is –1.9 and the price falls by 10%. You are advised to show your working.

(2)

(d) What is meant by the term social benefits?

(2)

(e) Describe **one** feature of an oligopoly.

(2)

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P 7 2 9 6 7 A 0 8 2 4

## 8. Question 2 · part d · 2 marks · Working and answer

Working and answer

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## 9. Question 1 · part d · 1 mark

2025 JUN · Paper 01

Further practice · Attempt part d only.

**1** When a firm increased its prices, many consumers stopped buying its products.

(a) Which **one** of the following explains the behaviour of these consumers?

(1)

- ☒ **A** Consumers aim to maximise profit
- ☒ **B** Consumers aim to maximise benefits
- ☒ **C** Consumers have habits that are hard to give up
- ☒ **D** Consumers cannot calculate their benefits

A product has an income elasticity of demand (YED) of –0.9

(b) Which **one** of the following best describes the product?

(1)

- ☒ **A** A public good
- ☒ **B** A normal good
- ☒ **C** A luxury good
- ☒ **D** An inferior good

(c) What is meant by the term productivity?

(2)

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## 9. Question 1 · part d · 1 mark

2025 JUN · Paper 01

Further practice · Attempt part d only.

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(d) State the formula for social costs.

(1)

(e) Define the term producer.

(1)

A firm has total fixed costs of €37 000 per month and variable costs of €170 per unit.
It produces 650 units per month.

(f) Calculate the **total costs per month** for the firm. You are advised to show your working.

(2)

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## 9. Question 1 · part d · 1 mark · Working and answer

Working and answer

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## 10. Question 1 · part d · 1 mark

2025 NOV · Paper 01

Further practice · Attempt part d only.

**1** (a) In which sector of the economy is house building?

(1)

- ☒ **A** Service
- ☒ **B** Primary
- ☒ **C** Secondary
- ☒ **D** Tertiary

A firm produces goods that are made from wood.

(b) Wood is an example of which **one** of the following factors of production?

(1)

- ☒ **A** Capital
- ☒ **B** Enterprise
- ☒ **C** Labour
- ☒ **D** Land

(c) What is meant by the term total costs?

(2)

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## 10. Question 1 · part d · 1 mark

2025 NOV · Paper 01

Further practice · Attempt part d only.

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(d) State the formula for social benefits.

**(1)**

(e) Define the term substitute good.

**(1)**

A manufacturer produced 1,350 pairs of designer sunglasses in March and sold these products in its shops in Milan, Paris and London.

| Location | Quantity of sunglasses demanded |
|---|---|
| Milan | 639 |
| Paris | 715 |
| London | 516 |

**Figure 1**

(f) Calculate the **excess demand** in March for the sunglasses. You are advised to show your working.

**(2)**

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## 10. Question 1 · part d · 1 mark · Working and answer

Working and answer

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